

EX-SERVICEMEN
RETURNING THEIR
MEDALS TO
RASHTRAPATI BHAVAN



Annual amount spent on
defence pensions
Rs 12,000 cr

There is, however, little unanimity on this. The Parliamentary Standing Committee on Defence this year endorsed OROP for the armed forces. "The OROP demand is completely justified due to the unique nature of the armed forces. If MPs can get the same pension why can't a country with a trillion-dollar economy support its soldiers?" asks Chandrashekhar.

The Sixth Pay Commission is silent about OROP and has widened the disparities between ex-servicemen, say retired soldiers. A soldier retiring on December 31, 2005 for instance will draw Rs 3,917 throughout his life as pension but his compatriot retiring just a day later will draw Rs 6,100. Likewise, a hawaldar with 24 years of service who retires in December 2005 gets Rs 5,600 and a sepoy, who is two ranks his junior but retires after 2006 with 17 years of service receives Rs 6,860.

An out-of-the-box recommendation on how to reduce the pension

nearly Rs 800 crore each year which the government could use to pay OROP to past pensioners. Lateral inductions would in fact have obviated the need for more pensions. "If our soldiers are given some sort of employment till the age of 60, we will not need to pay them pensions," says Kadyan.

However, the Ministry of Home Affairs, which controls the CPoS, refused to allow lateral induction of ex-servicemen. In a letter to the Ministry of Defence last year, Home Secretary Madhukar Gupta ruled this out citing various problems of seniority, differing ethos and selection processes. The real reason say ex-servicemen is that the police organisations are afraid of losing control over the recruitment process and of being swamped by the armed forces.

With each passing year the pension bill has been increasing. Defence pensions currently account for less than 40 per cent of the government's

Demand and Reply

Ex-servicemen

- The demand for One Rank One Pension
- Alternative employment needed. Retired personnel should be inducted into paramilitary forces.
- National level body for ex-servicemen
- Ex-servicemen representation on various welfare committees

Government

- MoD rejects it due to financial implications—it will cost Rs 2,200 crore each year.
- Home Ministry has stalled proposal, citing a variety of reasons.
- No response from government
- No response from government

financial and legal reasons'. The financial implications—estimated at Rs 2,200 crore each year—and the prospects of similar demands from other government employees is one reason the political parties get cold feet. "The minute you open the door to OROP, the government will go bust," says a finance ministry bureaucrat. "If other employers like the Railways begin asking for OROP, the Government will simply be overwhelmed by requests."

burden did come, and not from the armed forces, but from the contentious Sixth Pay Commission. Last year, it suggested that service personnel be inducted into Central paramilitary organisations (CPOS) like the BSF and the CRPF after their early retirement where they could serve till the age of 55. This would reduce the need to pay full pensions, fill about 35,000 vacancies in the CPOS and defence civilian posts every year and reduce the government's pension burden by

annual pension bill of Rs 30,000 crore. "Must we continue to burden the taxpayer by carrying so many pensioners? Even the US cannot afford to give pensions to so many veterans," says Major-General Surjit Singh (retd), arguing for lateral induction into the paramilitaries to end the pension debate. But with innovative solutions being given short shrift, the war between the former servicemen and the Government seems to be going nowhere. ■